

EARNINGS REACTION NOTE

Broadcom Inc.

Fiscal Q2 2026 — reported after the close on **June 3, 2026** (call 2:00 p.m. PT / 5:00 p.m. ET). Built on the Bigdata.com financial-research-analyst methodology.

Revenue \$22.19B (+48% YoY)	Beat / Miss Beat & raise
Non-GAAP EPS \$2.44 vs \$2.40	Q3 guide \$29.4B (+84%)
AI semi revenue \$10.8B (+143%)	Thesis status Strengthened
Price reaction Not yet observable*	Framework read Hold-equivalent

The call was after market close; the latest available price (\$479.23, -0.5%) is the June 3 regular-session close, which **predates the results. The post-release reaction is not yet in the data. Prepared June 4, 2026.*

Headline numbers

Metric	Reported	Consensus	Beat/Miss	YoY
Revenue	\$22.19B	\$22.13B	+0.3%	+48%
Non-GAAP EPS	\$2.44	\$2.40	+1.7%	+54%
AI semiconductor revenue	\$10.8B	~\$10.7B (guide)	Beat	+143%
Adjusted EBITDA margin	69%	68% (guide)	Beat	+~100 bps
Free cash flow	\$10.3B (46% of rev.)	—	Record	—

EPS and EBITDA on company non-GAAP basis (comparable to consensus). GAAP diluted EPS was \$1.91; GAAP operating margin 49%. Sources: FactSet (consensus, financials); Broadcom Q2 FY2026 call via Bigdata.com.

What matters: primary drivers (EPIC filter)

Per the methodology, the note is anchored on the 2–3 factors that actually move the name — not a flat category list. Each is screened on Effect / Predictability / Independence / Consensus-gap.

Primary driver	E	P	I	C
1. AI semiconductor ramp & FY27 '>\$100B' trajectory	✓	✓	✓	✓
2. AI bookings/backlog conversion (>\$30B booked vs \$10.8B shipped)	✓	~	✓	✓
3. Buildout financing — Apollo/Blackstone 20GW+ / \$35B platform	✓	~	✓	✓

Why these passed vs. deprioritized factors: the AI ramp dominates intrinsic value (a ~10% change to the FY27 AI number moves value far more than anything else), is now forecastable given multi-year contracts and secured supply, and consensus price targets still lag — a live gap. Non-AI semis recovery (+6%, bookings >\$6B), VMware (stable, 17% ARR growth), and ESG were noted but deprioritized as immaterial to the 12-month debate.

What mattered this quarter

Positive surprises

- **AI revenue beat and accelerated:** AI semiconductors hit a record \$10.8B (+143% YoY), above the \$10.7B guide; networking ran at ~40% of AI revenue.
- **Backlog signal:** AI bookings exceeded \$30B in the quarter against \$10.8B shipped — an exceptional book-to-bill pointing to durable multi-quarter demand.
- **Customer base broadened to six** (from five), with Anthropic adding +5 GW of next-gen TPU compute from 2027 and Google locked into a multi-generation TPU + networking agreement.
- **Financing answered:** a new AI XPU platform with Apollo, Blackstone and others targets >20 GW through 2028; a \$35B first tranche is already launching — directly de-risking the 'who funds the capex' bear point.
- **Record margins/cash:** adjusted EBITDA 69% (above guide); record free cash flow \$10.3B (46% of revenue).

Negative / watch items

- **Gross-margin step-down guided** to ~74% in Q3 (from 77.1%) on AI mix — management stresses it is mix, not structural, and operating margin holds ~67%.
- **Inventory build:** days on hand rose to 86 from 68 (a \$1.4B build) to secure AI supply — deliberate, but a line to watch if the ramp timing slips.
- **Concentration:** demand remains tied to a handful of frontier-AI customers; the \$30B is bookings, not yet revenue.

Guidance update

Metric	Prior reference	New (Q3 / FY) guide	Read
Q3 revenue	Street ~\$28.3B	\$29.4B (+84% YoY)	Above
Q3 AI semiconductors	—	\$16B (+>200% YoY)	New high bar
Q3 infra software	—	~\$8.9B (+31% YoY)	Strong
FY26 AI semiconductors	(implied ~\$50B+)	~\$56B (+~180%)	Quantified up
FY27 AI semiconductors	>\$100B (Q1 call)	>\$100B (reiterated)	Held / on track

Thesis check and variant perception (FaVeS)

Original thesis (from the preview): the equity is priced for execution; with the stock trading above the consensus target, the reaction would hinge on the *guide* and the AI framing rather than the headline beat, and AI semiconductors are effectively the whole story.

Thesis status: STRENGTHENED (fundamentals) — valuation caveat intact. The quarter beat, the Q3 bar was raised sharply, the customer base broadened, and the buildout-financing risk was largely answered. The one unchanged element is valuation: expectations were already extreme, so fundamental upside may not translate one-for-one into the stock.

FaVeS — where the view differs from consensus

Element		Read
Fundamentals	Two KPIs drive value: (1) AI semiconductor revenue (FY26 ~\$56B; FY27 >\$100B) and (2) AI bookings conversion. Both inflected up. Software/ARR (17%) is a stable secondary.	
Valuation	Trailing P/E ~59x (non-GAAP) compresses to ~31x NTM on rising forward EPS; NTM EV/EBITDA ~30x vs ~45x trailing. Premium, but the growth denominator is moving fast.	
Sentiment	Media sentiment strongly positive into the print; options skew was defensive (puts > calls). Consensus is 52 Buy / 6 Hold with targets clustered around spot — bullish but not chasing.	

Variant perception: the gap between the demand signal (>\$30B quarterly bookings, 20GW+ of committed compute) and price targets that merely sit around spot suggests the Street's FY27 estimates are more likely to be revised *up* than down. The offsetting, equally important view: because the stock already discounts hyper-growth, even upward estimate revisions may produce muted price moves — i.e., *the numbers can beat while the stock does not*. That tension is the crux of the name today.

Earnings quality and valuation update

Quality signals (GAAP basis)

Signal	Reading	Status
OCF vs. net income	OCF \$10.5B vs GAAP NI \$9.3B = 1.13x	Healthy (>0.8)
Cash position	\$19.6B, up from \$14.2B q/q	Strengthening
Leverage	Net debt/EBITDA ~1.1x (from ~1.4x)	Improving
Inventory build	86 days vs 68 q/q (+\$1.4B)	Elevated — deliberate
Receivables / DSO	Balance-sheet detail preliminary	Await 10-Q
Guidance credibility	Beat own revenue & EBITDA guide again	Strong

Valuation update

Metric	Pre-earnings	Post-earnings	Note
Stock price	\$479.57 (Jun 2)	\$479.23 (Jun 3 close)*	*pre-release; reaction pending
NTM P/E	~37x	~31x	Compresses on raised FY26-27 EPS
NTM EV/EBITDA	~33x	~30x	EV ~\$2.31T; NTM EBITDA ~\$78B
Consensus PT	\$463.44	\$470.70	Median \$482.50; high \$582

NTM multiples are approximate, computed from consensus forward estimates and current EV; they compress because forward EPS/EBITDA rise on the guide while the share price is roughly unchanged. Illustrative, not targets.

Scenario framework (illustrative — not price targets)

Scenario	Prob.	Premise	12-mo range
Bull	35%	FY27 AI tracks >\$120B; multiple holds on backlog conversion	~\$560-600
Base	50%	Guide tracks; FY27 AI ~\$100-110B; de-rates modestly as growth normalizes	~\$470-510
Bear	15%	AI capex digestion / margin-mix pressure; multiple compresses	~\$360-410

Probability-weighted midpoint $\approx 0.35 \times \$580 + 0.50 \times \$490 + 0.15 \times \$385 \approx \text{\textbf{\$508}}$. Assumptions are illustrative inputs to a framework, not a forecast or recommendation; small probability changes move the output materially.

Action, catalysts and what would change the view

Framework read (informational, not investment advice): Hold-equivalent / quality-compounder. Fundamentals strengthened on a beat-and-raise with broadened demand and de-risked financing, but a full valuation and extreme expectations leave balanced near-term risk/reward at the current price. The decision is yours; this is not a recommendation, and the framework excludes any position sizing.

Estimate revisions implied

Metric	Direction	Driver
FY26 revenue / EPS	Up	Q3 guide (\$29.4B) above prior Street trajectory
FY27 AI revenue	Up-bias	>\$100B reiterated; \$30B/qtr bookings argue for upside
Price targets	Up (modest)	Consensus already nudged to \$470.70 post-print

What would change the view

- **Bullish trigger:** a 7th custom-silicon customer, or an explicit FY27 AI number raised above \$100B.
- **Bearish trigger:** hyperscaler capex guidance cuts, bookings-to-revenue slippage, or AI gross margin falling faster than the mix explanation implies.
- **Quality flag:** inventory days continuing to climb without matching revenue conversion in Q3.

Next key date: fiscal Q3 2026 results, expected after the close in early September 2026 (next call ~Sept 2–3).

Sources

Broadcom Inc. fiscal Q2 2026 earnings call (June 3, 2026), FactSet and Quartr transcripts via Bigdata.com; reported financials, consensus and EPS surprise via FactSet; real-time quote, analyst ratings/targets, fund-flow and sentiment data via the Bigdata.com company tearsheet and sentiment tools.

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